BOSTON SCIENTIFIC CORP BSX

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by xds68

			2026	2027
Price:	44.08	EPS	3.36	3.72
Shares Out. (in M):	1,486	P/E	13	12
Market Cap (in $M):	65,660	P/FCF	13	12
Net Debt (in $M):	9,500	EBIT	5,200	5,800
TEV (in $M):	75,160	TEV/EBIT	14.5	13

Description

Boston Scientific is currently the market leader in interventional cardiac devices. The substantial decline in its share price and PE multiple reflects a combination of slower market growth, emerging competition, and a broader contraction in medical product stocks. Roughly a third of Boston Scientific's revenues are facing heightened competitive pressure. Watchman, Farapulse and several urology products all face competition from recent and pending entrants. However, the resulting slowdown in growth, and uncertainty around how long that will persist, presents an opportunity to buy a well-run medical device company with a long track record of success, trading near its lowest trading multiple over the last twenty years. Currently the stock trades around 13x estimated 2026 earnings, versus, versus a historical average closer to 20x.

Even facing competitive pressures, BSX should deliver mid-single digit revenue growth and high single digit EPS growth, a slowdown from recent years, but still representing respectable growth on an absolute basis. In broad terms, roughly a third of the franchise will be flattish on revenue, while two thirds will continue to post mid -high single digit growth. That growth is augmented on EBIT and EPS through cost synergies and capital allocation.

BSX' core competency has been tuck-in M&A, which often begins with small venture type investments from the company's venture division (currently that division has about 50 unique venture investments). That approach led to the hugely successful acquisition of Farapulse. The first investment in Farapulse came in 2014 (in what was then called the 'Iowa Approach'). That investment was expanded to a 27% equity stake over time, followed by a full buyout in 2021 for $295 million plus milestone payments. The all in investment was roughly $450 million for a business that sells in excess of $3 billion. Watchman, the second largest product, was acquired via Atritech for $100 million upfront and $275 million in subsequent milestone payments. There are many other examples. I think one of the reasons the stock has fallen so much is BSX' Penumbra acquisition for $14 billion diverged so much from that playbook. That investment was viewed by the street as defensive amid declining top line growth, and I think that's probably correct, although there are strategic rationales. That said, I don't think they will do another deal like Penumbra – I discuss it in more detail at the end of this note.

I review the business lines in more detail below. To be clear, I don't think the shares will quickly recover to past highs. The company will have to work to stabilize market share in core categories, and there may be a continued transition in the investor base from growth to value. There's also still a risk that estimates are high, particularly for next year. But I think the longer-term IRR from here should be low double digits under undemanding assumptions. I also think barring some very unexpected negative development, downside is limited to the mid $30s, a PE multiple that would put BSX in line with players like Baxter, which face greater long term secular challenges. Put differently, while BSX is facing a period of heightened competition, its end markets remain among the faster growing in Medtech.

Here are the key developments by business segment:

Watchman, 9% of estimated 2026 revenue ($2 billion Watchman rev, $21 billion company):

Watchman is a permanent implantable device to reduce stroke risk in patients with non-valvular atrial fibrillation (AFib). Afib is a common heart arrhythmia, where the heart's upper chambers (the atriums) beat out of sync with the lower chambers (the ventricles), causing quivering as opposed to efficiently pumped blood. That can lead to blood clotting in a pouch next to left atrium (the left atrial appendage, or LAA). Watchman seals off the LAA, blocking the discharge of blood clots. Unblocked, those clots can clog the arteries, leading to stroke or organ failure. Watchman can replace oral anticoagulants (NOACs) like Eliquis. NOACs are not well tolerated by some patients and generally increase the risk of excessive bleeding, given their anti-clotting mechanism.

In late March BSX released the results of a widely watched trial, Champion, which showed non-inferiority of Watchman FLX to anti-coagulants and a 45% reduction in non-procedural bleeding. That said, Watchman did have a 3.2% risk of stroke over three years versus 2% for NOACs (or 1.1% per year versus 0.7% for NOACs). The difference was not statistically significant but has still been cited by some doctors as a reason to favor NOACs over surgery.

In recent years, Watchman had been growing 20%+ annually, although that slowed to 19% in 1Q26. Then two months after the Champion results, BSX management indicated at a Bernstein conference that Watchman sales lagged the levels assumed in prior guidance (overall company revenue guidance was maintained). Management now guided to sequentially flat Watchman sales through the year, which implies full year Watchman revenue of roughly $2 billion, up slightly from 2025 on a full year basis, but flat in the last three quarters of the year versus prior year. Management noted more Watchman procedures concomitant with Boston's Farapulse device for Afib (see below), but fewer standalone procedures. That may partly reflect reimbursement changes, as well as limited physician availability (attempts to maximize productivity), and possibly some market share loss, although BSX management denied the latter.

On that front, Watchman's only competition is Abbott's Amulet device, which so far has languished at around 10% market share. Amulet has some advantages around the effectiveness of its atrial seal versus Watchman, but it is also a more difficult device to implant (per physician interviews), leading to longer procedures and more frequent complications. Abbott will release its next generation Amulet 360 early next year which reportedly addresses some of the flaws in the first-generation device. Abbott may also price that device more aggressively in an effort to take market share. That said, Boston will release the next generation Watchman elite device within a year of the Amulet release. That device is designed to more precisely seal the atrial appendage (reducing a reported advantage of Amulet).

I'm modeling flat growth for Watchman for future years. That's based on low double-digit market growth offset by share losses to Amulet over the next few years. That may prove conservative given historical unit growth and the potential to raise price with the next generation device. The risk is that the market remains soft and Amulet takes more share through pricing. At the current BSX share price the market already appears to have largely discounted muted Watchman growth.

Farapulse, roughly 15% of estimated 2026 revenue ($3 billion Farapulse rev, $21 billion company):

Farapulse is the company's system for atrial fibrillation (AFib) using pulsed field alation (PFA). AFib is when abnormal electrical signals in

the atria cause the heart to beat irregularly. Historically doctors treated by heating (Radiofrequency or RF) or freezing (Cryoablation) near the pulmonary veins responsible for the arrhythmias, creating a ring of protective scar tissue. The Farapulse innovation is to deliver short high voltage electrical pulses, which spares more adjacent tissue than prior methods. Today about 75%-80% of US AFib procedures are done with PFA, with the balance performed using RF and to a lessor degree Cryoablation. I've seen a number of doctors predicting that PFA will rise to 90% of procedures over the next five years. The opportunity is larger internationally, where about half of procedures are still performed with RF. Assuming overall category growth of 5%, PFA's inroads on RF should support low double digit growth globally for that procedure.

Offsetting that is the likelihood of further BSX share losses. Farapulse was first to market and currently has roughly 55% market share. However, Medtronic's Affera platform using the Sphere-9 catheter is gaining share, in part because it combines visual mapping with PFA and RF ablation on a single catheter. BSX also has an integrated mapping option, however it works in combination with its OPAL mapping system, which requires an addition investment by hospitals and clinics. Today, many hospitals have already invested in mapping systems like JNJ's Carto and Abbott's Ensuite. As a result, many clinicians still use Farapulse with a separate guidewire and mapping system. Nonetheless, a majority of physicians prefer the ease of use of Farapulse and have little need to perform RF procedures. Broadly physicians find Affera to be better suited to more complex ablations, while Farapulse ease of use is well suited to the majority of straightforward ablations.

BSX's next-generation Farawave and Farapoint devices add some Affera-like capabilities but only partially close the gap. JNJ and Abbott have also entered the market with competitive devices and are likely to take some share. Management is already reporting share losses, which are likely to continue. As a result, market growth in the teens should translate into mid- to high-single-digit growth for BSX over the next few years, with share likely stabilizing closer to 40% over the next few years. International growth will be increasingly important, given the lower penetration of PFA abroad.

Interventional Cardiology, 20%+ revenue

This segment includes the broader catheterization lab and vascular procedure business. BSX sells the tools used to diagnose, prepare, and treat blocked or narrowed blood vessels. This includes intravascular imaging, stents, drug-coated balloons, atherectomy, vessel preparation tools, and peripheral vascular products. Cardiologists must be able to see the blockage, understand the lesion, prepare the vessel, and then treat it. BSX's products stretch across that workflow.

As coronary procedures grow in complexity, the segment should experience strong growth. More cases now involve calcified lesions, bifurcations, peripheral artery disease, and image-guided percutaneous coronary intervention (PCI), all of which require more specialized tools. BSX is well positioned in intravascular ultrasound through Avvigo and OptiCross, and its Agent drug-coated balloon gives it another growth product as the US catches up to Europe in drug-coated balloon adoption. Longer term, coronary IVL, renal denervation / hypertension devices, high-risk PCI support, and Penumbra thrombectomy should expand the opportunity.

Abbott, Philips, Medtronic, and J&J all make products which compete in this area. There is some risk that Watchman will weaken as an anchor product in broader hospital contracts. With the rise of Amulet 360, BSX could lose some pricing leverage across the cardiology portfolio. Still, the business is well diversified, and supplies several different functions within cardiology, supporting the case for sustained growth.

Endoscopy, 15% of total revenue

Endoscopy is BSX's gastrointestinal procedure business. It includes devices used by gastroenterologists to diagnose and treat diseases in the digestive tract, bile ducts, pancreas, and related organs. Most of these tools are minimally invasive, being used to stop bleeding, open blocked ducts, drain fluid collection, and conduct imaging.

The endoscopy segment is more stable for BSX, with a strong combination of procedure volume, physician familiarity, and consumable products. Growth comes from increased GI procedure volume, more complex therapeutic endoscopy, and the continued use of differentiated products like Axios and SpyGlass. The global market is growing in the mid-single digits, with a current value of $8 billion. With reliable product distribution and physician relationships, BSX's endoscopy segment will act as a steady grower and stable business line for the coming years.

Urology, 13% of estimated 2026 revenue

Urology is a broad segment, with the largest pieces being kidney stone management, benign prostatic hyperplasia, SpaceOAR for prostate cancer, men's health, and the recently acquired Axonics / Bulkamid platform for bladder and pelvic floor disorders. Historically, the business has grown in the mid to high single digits; however, it has been recently underperforming due to issues in stone management and Axonics integration. The stone management market has grown more competitive, with niche and low-cost competitors putting pressure on BSX. The company is actively looking to close product gaps around suction, pressure sensing, and fluid management, which is currently leading to lower 2026 results than normal for a segment that typically grows closer to the market. Axonics is positioned as a longer-term growth asset, but integration has created near-term disruption due to the need for specialized clinical sales support and strong competition from Medtronic's InterStim. Urology will likely recover, after a depressed 2026, to mid or high single digit growth in 2027 as new tools and the Axonics integration come to fruition.

Neuromodulation, 6% of estimated 2026 revenue

Division includes spinal cord stimulation for pain, brain stimulation for Parkinsons, peripheral nerve stimulation, Intracept for lower back pain,. Intercept, acquired from Relievant, uses RF ablation to interrupt pain signals through the basivertebral nerve. This is a double-digit grower. Another acquisition, Axonics, provides a strong position in sacral neuromodulation for overactive bladder and bowel dysfunction and could be a double digit grower. Other products in the segment are mid-single digit growers. Medtronic is the leader in brain stimulation and neuromodulation and Abbott also has products in the segment but Intracept and several other products are differentiated here. Overall segment should grow mid-single digit or somewhat higher.

M&A – large recent deals

Investors were unnerved by the large, extremely expensive acquisition of Penumbra announced in January. Pending regulatory approval BSX will purchase Penumbra for roughly $12 billion at the current $44 BSX share price. The original price was $14.5 billion, but that has declined with BSX share price (2/3 cash 1/3 stock deal structure). That's still a hefty 34x EBITDA using 2027 estimates for Penumbra. The deal was struck prior to the sharp correction in medtech and BSX shares. I don't think a similar deal would happen today – indeed BSX current market cap is only about 5x the cost of Penumbra while EBITDA is roughly 20x higher.

Two thirds of Penumbra's revenue is in computer assisted vacuum Thrombectomy, where aspiration pumps and catheters mechanically remove blood clots. The company has a smaller business in embolization and access, which treats aneurysms, blocks blood supply to tumors, and facilitates access to arteries. Penumbra has about a third of the global Thrombectomy market and may be able to expand that position by bundling its offering with other Boston Scientific products. BSX management also sees Penumbra as a launchpad for next generation products such as micro-catheters that can remove clots in smaller blood vessels.

If we assume fair value today for Penumbra would be around 20x EBITDA, given the company's mid-teens revenue growth and solid pipeline, it implies BSX is overpaying by about $4 billion, or $3 in BSX shares. A big number, but I'd argue more than reflected in BSX' current share price. The deal will be modestly dilutive to EPS in early years.

Penumbra may also grow faster than expected, and BSX may be underplaying longer- term synergies. There are opportunities internationally where Penumbra has less presence. Penumbra has done a very good job leveraging internal R&D and integrating software into its product set. It's possible those competencies will provide broader benefits to Boston. Penumbra's CEO accepted all shares in the deal, which will make him the largest executive shareholder with about 3 million BSX shares. Initially Penumbra will be run separately from Boston so it's unclear what early synergies will be. My sense is they don't want to screw up the business – but there will probably be longer term benefits to the combined entity that aren't well understood by investors today since BSX management has been somewhat muted in their public comments.

The second large recent acquisition, was the $1.5 billion purchase a 34% stake in MiRus with an option to buy the entirety of of MiRus' 'Siegel' transcatheter aortic valve replacement (TAVR) system for $3 billion. TAVR involves replacing aortic valves that have been narrowed by stenosis, limiting blood flow. Siegel is half the size of existing TAVRs which permits doctors to more safely move the valve through arteries, which may in some instances be damaged, into the heart. While early in the product's development, if it proves as durable as existing TAVR systems on market, it's smaller size could lead to significant share gains. Currently the TAVR market is roughly $7 billion globally, but is expected to roughly double over the next decade. The dollars BSX is paying for the MiRus option is a reflection of their confidence in the technology and they've said as much publicly. There was a recent Tegus transcript with an interventional cardiologist who agreed that if Siegel's smaller size would offer significant advantages over devices that are currently on market, but cautioned that doctors will want to see evidence of comparable device durability.

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Catalyst

Stabilization of key product market share, helped by launches of next gen products over the next two years.

Messages

Subject	Updated thoughts post Q2
Entry	08/11/2026 03:36 PM
Member	Rialto95

Hi xds, thanks for the write-up. Wondering if you had updated post Q2/ guidance reset? How conservative do you view the updated WM and EP guidance for 2H 2026/2027?

Subject	Re: Updated thoughts post Q2
Entry	08/12/2026 08:18 PM
Member	xds68

Honestly, I don’t know - game theory wise it’s probably to their advantage to err on low side - but more broadly the overall ‘27 guide was worse than I thought. With the stock up and the estimates down, the R/R strikes me as kind of meh at this point.